

losing proposition that limits your exit options and gives you a high risk of being in a tough position down the line.

For example, if you're making break-even cash flow on your rental property, you might be seeing the benefits of someone else paying down your mortgage balance without having to lift a finger (or a penny). It's all sunshine and rainbows until your local housing market tanks and you have to reduce the cost of rent to keep any tenants around. Once that \$1,800 rent payment drops to \$1,700, you're \$100 in the hole. You don't want to subsidize someone else's housing costs out of your own pocket unless you absolutely have to.

Let's try this again with the same property, but in an area with higher average rents:

\$2,000 gross rental income

Tenants pay all utilities (including water, trash removal, etc.)

- **\$1,200 mortgage payment**
- **\$200 vacancy allowance**
- **\$200 property management allowance**
- **\$240 maintenance/CapEx allowance**

\$160 cash flow

Now, that's more like it. A great first-time home purchase will have the potential to produce positive cash flow each month as a rental, even if it's just a couple hundred bucks. That might not seem like much relative to your down payment, but that's typical for a single-family home. It's hard enough as an investor to find a rental property with great cash-flow numbers, let alone a home you'd also like to live in.

Your primary residence does not have to be a huge winner from a cash-flow perspective—the goal here is flexibility. The more cash flow your property is capable of producing in the event you move away, the more flexibility you assume as a homeowner. While we recommend break-even or better, we also recognize that even this will be difficult in some markets. In that case, the less negative your cash flow, the more likely it is that you